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Yale Program on Financial Stability

Lessons Learned

Mark Branson

By Mercedes Cardona

Mark Branson joined the Swiss Financial Market Supervisory Authority (FINMA) as head of the banking division in 2010, during the European Sovereign Debt Crisis. He became deputy director of FINMA in 2013 and was named director a year later. Although Switzerland is not a member of the European Union (EU) or its banking union, the nation participates in bilateral agreements that govern trade with the EU, its largest trading partner. In the wake of the Global Financial Crisis (GFC), it enacted a number of regulations to improve oversight of the financial sector. Branson left FINMA in 2021 to become head of the Federal Financial Supervisory Authority of Germany (BaFin). Then-Finance Minister Olaf Scholtz (later Germany's chancellor) charged Branson with giving BaFin "more bite" and restoring trust in German financial supervision. This "Lesson Learned" is based on an interview with Branson held in April 2024; the full transcript may be found [here](#).

Supervisors should be assertive and probing. Regulators should not be afraid to enforce standards and make changes when needed.

For the Swiss government, one of the lessons of the GFC was the need for more assertive bank supervision, said Branson. FINMA was only a year old in 2010 when Branson joined from UBS, itself an institution that suffered during the GFC from a significant exposure to the US subprime loan market. FINMA's challenge was to fundamentally change the nature of bank supervision in Switzerland, "to completely rebuild the way banking supervision was done, through a much more active and intrusive and well-resourced way of going about it," said Branson.

One of the lessons, and I think this is not unique to Switzerland, was that prior to that financial crisis, there had been too much trust in banks' own risk management abilities and risk models. Supervision had been too desk based and too trusting and too little intrusive. I think that's a conclusion that was made right across the financial industry.

One of the things to do at the time when the institution was young was to completely rebuild the way banking supervision was done, through a much more active and intrusive and well-resourced way of going about it. That was one challenge, to change the nature and style of supervision.

A robust exercise of supervision and drawing the right policy conclusions are two more important lessons drawn from the GFC, Branson explained. The more active Swiss supervisory regime was not as thoroughly tested during the European Sovereign Debt Crisis that followed, since Switzerland was not a member of the European common market, but the additional transparency and information helped the authorities assess the exposure of banks to the troubled sovereign assets. The COVID-19 pandemic proved to be a test of the resiliency of the system, explained Branson, which held thanks to the release of large capital buffers

and fiscal support among the large European economies that neutralized the financial risk of the lockdowns.

In addition, the “too big to fail” problem was more pronounced in Switzerland than in other countries, said Branson, because of the concentration of its banking sector in two institutions, UBS and Credit Suisse. (In 2020, these banks collectively held approximately 80% of the country’s banking assets.) That meant that the failure of a large bank in Switzerland posed a greater risk to the Swiss financial system and economy than a failure of a similarly sized bank in most other countries. Branson said that Switzerland addressed its “too big to fail” risks swiftly following the GFC—even before the United States enacted its landmark Dodd-Frank reforms—when the Swiss parliament introduced legislation mandating new leverage ratio requirements and much higher capital standards, including contingent capital instruments for resolution. This regime was tested in 2023, when Credit Suisse failed and was acquired by UBS with assistance from the Swiss government.

Branson also shared a related impression from his time at Germany’s BaFin: the perception that regulation is the enemy of innovation, which is often invoked to counter calls for stronger supervision. While at BaFin, he helped the German agency rebuild its reputation after the payments processor Wirecard collapsed in a fraud case that Branson compared to the 2002 Enron Corp. scandal in the US. The Wirecard case led to significant regulatory changes regarding corporate governance and accountability standards. Branson helped to rebuild confidence in the German supervisory regime.

It was a question first and foremost of rebuilding the reputation and of recalibrating the appetite to act decisively, fast and courageously in situations which needed intervention, to become more interventionist. In the end, there was no dilemma because this had obviously shown up as a weakness in the system. The political imperative was to reestablish the reputation of BaFin as a strong, effective, and intrusive supervisor, and that has not wavered to this day.

Such changes, said Branson, do not operate against innovation, but instead, good supervision actually promotes sustainable innovation.

You can only have successful innovation in your financial center if that’s done on the basis of your innovators sticking to the rules. Having a clean and innovative financial sector is not in contradiction, and it is the only way you can sustainably build something.

Branson said that the preventive aspects of regulation are crucial: “You are never done with improving the preventive part of financial market regulation.”

After a crisis, it is important to address any weaknesses or gaps that have been identified in supervisory processes so you will be better prepared for the next crisis.

The work of financial markets regulation is never done, and as the experience of the crisis passes, the more difficult it becomes to find the political will to enact needed corrective regulations, said Branson. He advised making needed changes in the immediate aftermath of

the crisis when memories were fresh. As an example, he pointed to the European framework for banking regulation, which he characterized as still incomplete, as it relates to banking resolution and liquidity requirements. The failure to “Europeanize” the banking system, especially deposit insurance, is an obvious gap in policy, he explained.

Still, much of the work done since the GFC has proved effective, Branson said:

The pulses of turbulence that we’ve had in the banking system since and over the last few years, none of them have turned truly systemic because most of the individual institutions are much more robust than they were, and the interconnections between them are much better managed.

While we’ve had sporadic issues, which have been quite severe in individual markets or sets of institutions, we haven’t had anything that you could really describe as fully systemic or not containable with rapid action. I think that’s why we have to be very careful now to make sure that we preserve those gains in strength of the prudential regulatory system on solvency and capital, and that we complete the job of Basel III, and we make sure we don’t dial back any of the new calibration that has been reached.

Crises are moving faster: Be prepared and act fast.

The speed at which information and transactions move across the global economy continues to ramp up, and every crisis seems to move faster than the one before. Technology continues to change the way and the speed at which financial services are deployed. Branson noted that, in a very connected world, where supply chains, clients, and operations are global and politics changes dramatically, “you can end up in uncomfortable situations from a risk perspective.”

In an unfolding crisis, people tend to protect their positions and think of how their decisions will look in the future, rather than focus on the immediate solution, said Branson. But leadership requires taking the risk of making an unpopular decision under severe time pressure.

It’s best to keep a clear head, focus on the few essential factors, and bring the other key decision makers along, Branson said:

The most critical thing is to make sure that there are extremely good connections between the relevant decision makers because you’re never alone as a supervisory authority in a crisis. You have a central bank, you have a finance ministry, you have maybe other international partners.

One of the most important things is to make sure that all the materially important players are involved as early as possible in what the scenarios may be and what their roles may be. Then make sure that you lead people through that process in as calm and measured a fashion as possible. Because in an approaching crisis or in a crisis, many people tend to lose their heads quite quickly. So, try to make sure that you act

on the basis of secured information, and calmly. Then be prepared to be decisive and to intervene and to show leadership.

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